what's bad, what sells and what doesn't…and the most important part is, you know it before Wall Street knows it."[1]

Lynch's rule—"You can outper-forms the experts if you use your edge by investing in companies or industries you already understand"—isn't totally implausible, and thousands of investors have profited from it over the years. But Lynch's rule can work only if you follow its corollary as well: "Finding the promising company is only the first step. The next step is doing the research." To his credit, Lynch insists that no one should ever invest in a company, no matter how great its products or how crowded its parking lot, without studying its financial statements and estimating its business value.

Unfortunately, most stock buyers have ignored that part.

Barbra Streisand, the day-trading diva, personified the way people abuse Lynch's teachings. In 1999 she burbled, "We go to Starbucks every day, so I buy Starbucks stock." But the Funny Girl forgot that no matter how much you love those tall skinny lattes, you still have to analyze Starbucks's financial statements and make sure the stock isn't even more overpriced than the coffee. Countless stock buyers made the same mistake by loading up on shares of Amazon.com because they loved the website or buying e*Trade stock because it was their own online broker.

"Experts" gave the idea credence too. In an interview televised on CNN in late 1999, portfolio manager Kevin Landis of the Firsthand Funds was asked plaintively, "How do you do it? Why can't I do it, Kevin?" (From 1995 through the end of 1999, the Firsthand Technology Value fund produced an astounding 58.2% average annualized gain.) "Well, you *can* do it," Landis chirped. "All you really need to do is focus on the things that you know, and stay close to an industry, and talk to people who work in it every day."[2]

The most painful perversion of Lynch's rule occurred in corporate retirement plans. If you're supposed to "buy what you know," then what could possibly be a better investment for your 401(k) than your own company's stock? After all, you work there; don't you know more about the company than an outsider ever could? Sadly, the employees of Enron, Global Crossing, and WorldCom—many of whom put nearly all their retirement assets in their own company's stock, only to be wiped out—learned that insiders often possess only the illusion of knowledge, not the real thing.